Veteran Retirement Transition Pilot

Four-year pilot · state agencies only · Plan 1 and Plan 2 · retirement required in exchange — proposed 2027 session initiative · internal draft, 12 October 2026

A Virginia state employee who is a veteran may buy the months of qualifying active-duty military service that get them to retirement at **approximate normal cost** — the price every VRS member already pays inside their first two years — and in exchange **must retire within six months.** Two narrow pathways. Nothing else about VRS changes.

	Retirement Bridge	Retirement Incentive
Who	A veteran **not yet** eligible for an unreduced retirement allowance who could become eligible by purchasing service	A veteran **already** eligible for an unreduced allowance
May buy at approximate normal cost	**Only the months needed** to reach the threshold, never more than 48	**Up to 12 months.** No more
Beyond that	Still purchasable at actuarial-equivalent cost, exactly as today	Still purchasable at actuarial-equivalent cost, exactly as today
The Commonwealth receives	Retirement within six months of completing the purchase	Retirement within six months of completing the purchase
If the member does not retire	They keep working, and pay VRS the actuarial-equivalent difference to keep the credit	Same

A member who needs 14 months gets 14 months, not four years. The cost control is in the design, not in a cap.

What it does not do

- **It does not repeal Virginia's 24-month cost window.** Current law stays exactly as it is for every VRS member. This is an additional pathway after the ordinary window, not a replacement for it.
- **It does not change what counts as military service** — the 48-month maximum, the 180-consecutive-days requirement, the discharge condition and the military-pension exclusion all stay.
- **It does not touch** the Hybrid plan, local government or school division employees, the State Police or Virginia Law Officers' systems, or the Judicial Retirement System. State agencies, non-hazardous duty, Plan 1 and Plan 2 only — so no unfunded local mandate.
- **It does not make anyone retire.** Participation is voluntary start to finish; the only consequence of choosing to keep working is financial.
- **It does not create a permanent program.** Four years, hard sunset, expires unless the General Assembly affirmatively reenacts it.

Who it reaches, and what it costs

About **28,994** Plan 1 and Plan 2 members of the state employees plan, of whom roughly **8,650** are in one of the two retirement positions the pilot addresses. After veteran status, qualifying purchasable service and voluntary take-up we model **17 to 86 participants over four years**, with 42 as the central case. Small by design — sized to be proved, not to be sold.

What it costs the trust fund we do not know, and we will not pretend to. Only VRS can price it, and we have asked. What is verified is the member's side: **12.50%** of salary per year purchased in Plan 1 and **10.74%** in Plan 2, per the VRS rate chart effective 1 July 2025 — about **$555,000** into the trust fund across four years at the central case. The cost to the trust fund is the actuarial-equivalent value of the same service, which is higher, and VRS sets it. We have asked VRS for that ratio and published our model across four values of it rather than choose one.

Separately, and in its own column, earlier retirements reduce agency payroll — roughly **$690,000 a year** at the central case, where a senior position is refilled at 85% of the departing salary and 3% of vacated positions are not refilled. **That is agency appropriation, not VRS trust-fund money, and this proposal does not net the two.** The bill carries no mechanism moving one into the other.

Why a pilot. Virginia does not know how many of its state employees are veterans — the veteran-status field reads blank or unknown for about **69%** of members, so nobody can currently say how many veterans with purchasable military service are approaching retirement, or what helping them get there would cost. This pilot is bounded enough to be affordable if we are wrong and specific enough to produce the first real answer: annual reports by pathway, a hard sunset, and reenactment only on the evidence.

The ask. Include the Veteran Retirement Transition Pilot in the 2027 legislative package, with a drafting request to the Division of Legislative Services by **30 November 2026**.

Sources, retrieved 12 October 2026: VRS Annual Actuarial Valuation, June 30, 2025; VRS Purchase of Prior Service cost-rate chart effective 1 July 2025; VRS Plan 1 and Plan 2 member handbooks; DHRM presentation to Senate Finance and Appropriations, 21 January 2025. Participant counts and the payroll saving are our model, not VRS results. No claim is made that this proposal is actuarially neutral, minimal in impact or self-funding.